

Economic Letter

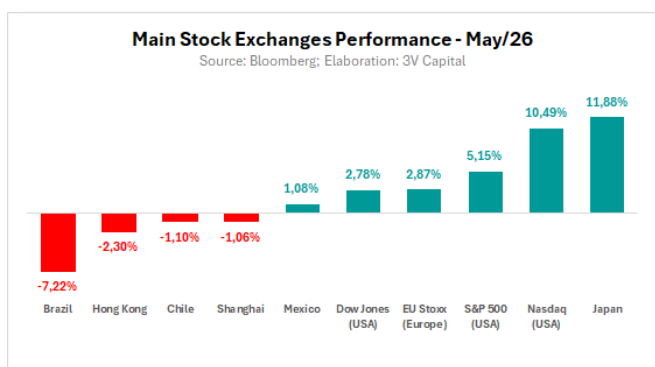
May/2026



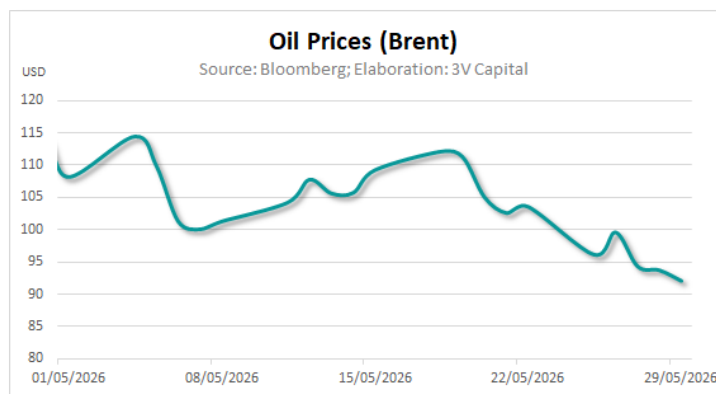
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Gestão de Recursos

External Scenario

May was marked by a sharp dispersion in performance across global markets. While the Nasdaq, the S&P 500 and Japan posted meaningful gains, supported by quarterly earnings, technology and enthusiasm around artificial intelligence, part of the emerging and commodity-linked markets lagged behind. The equity chart captures the month well: there was no uniform move in risk appetite, but rather a selective rotation toward assets anchored in corporate fundamentals.

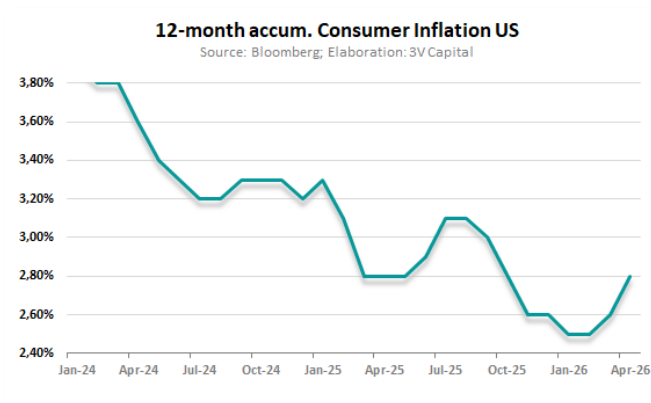


For most of the period, elevated oil prices and the standoff between the United States and Iran remained at the center of price formation. The market, however, stopped reacting solely to the possibility of an immediate escalation and began to price in the duration of the conflict. The prevailing read was one of "relief without conviction": with each sign of negotiation, crude gave back part of its premium; with each piece of noise around Hormuz, Lebanon or the Iranian nuclear program, volatility quickly returned. Oil's pullback in the final stretch reflected market fatigue with the war more than any concrete resolution.



The diplomatic front brought important developments, though insufficient to change the structural picture. The meeting between Trump and Xi Jinping in Beijing helped reduce part of the risk premium by signaling convergence on the need to keep the Strait of Hormuz operational. Even so, China avoided taking on a role of direct pressure over Tehran, and Iran maintained its core demands. The most relevant advance was the discussion of a preliminary memorandum to extend the ceasefire and gradually reopen Hormuz, but the agreement remained conditional on sensitive issues such as control of the strait, sanctions and the nuclear program.

Global monetary policy operated under growing tension. In the United States, inflation accelerated once again, with core measures still under pressure and signs of an erosion in real income, while long-term yields reached elevated levels. The debate ceased to be solely about when the Fed might cut rates and came to incorporate the possibility of a restrictive monetary policy for longer — or even a fresh round of tightening should the energy shock prove persistent. The Powell-Warsh transition therefore takes place at a delicate moment: technology equities remain strong, but the inflation and rates picture has become more challenging.



For the coming months, the trajectory of markets will depend on the normalization of Hormuz, on effective progress on the ceasefire memorandum and on central banks' response to the inflationary shock. Until then, the environment calls for selectivity and caution, with attention to rapid swings in sentiment.

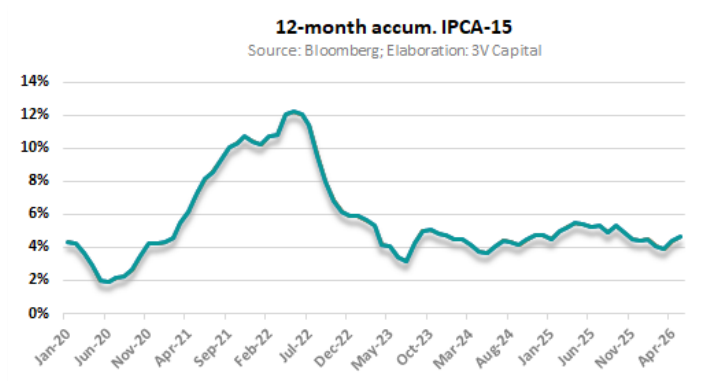
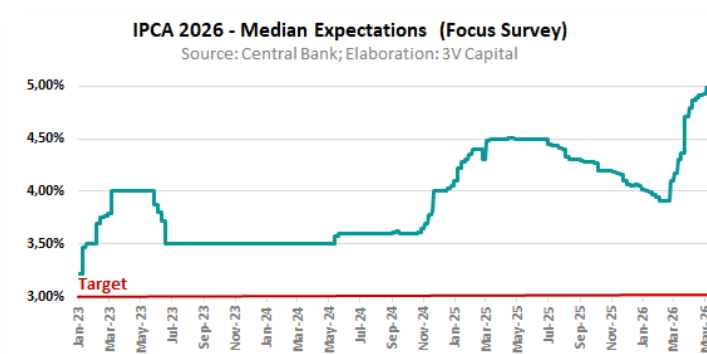
Domestic Scenario

The month of May was marked by a deterioration in sentiment in local markets. The combination of more persistent inflation, the energy shock and the weakening of Flávio Bolsonaro's candidacy heightened risk aversion and pressured assets, particularly the long end of the yield curve and the equity market. The view that gained traction was that of an environment with lower predictability for the Selic easing cycle, with a reduction in the total budget for monetary easing by the Central Bank.

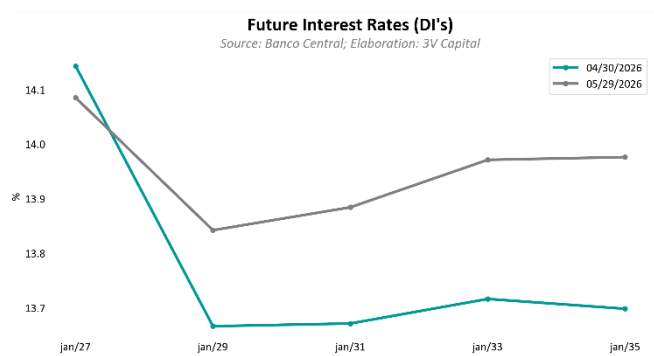
On the activity front, the most recent data brought clearer signs of a loss of momentum. The services sector posted a significant drop in March, and the IBC-Br for the same month fell well short of consensus, reinforcing the perception of a slowdown. In the labor market, April's Caged figures were a sharp disappointment, with job

creation well below estimates, raising the hypothesis that employment may be starting to respond more clearly to elevated interest rates.

With regard to prices, an even more uncomfortable picture took hold. April's IPCA decelerated in the headline reading, but with a meaningful deterioration in core measures, increasing the perception of more widespread pressure. The string of upward revisions in the Focus survey reinforced the view of inflation above the upper bound of the target, while May's IPCA-15, despite decelerating, came in above consensus and pushed the 12-month accumulated figure above 4.5%, with an acceleration in services and underlying services. This qualitative profile reduced the comfort for a more "automatic" easing cycle and reinforced the Central Bank's calibration narrative.

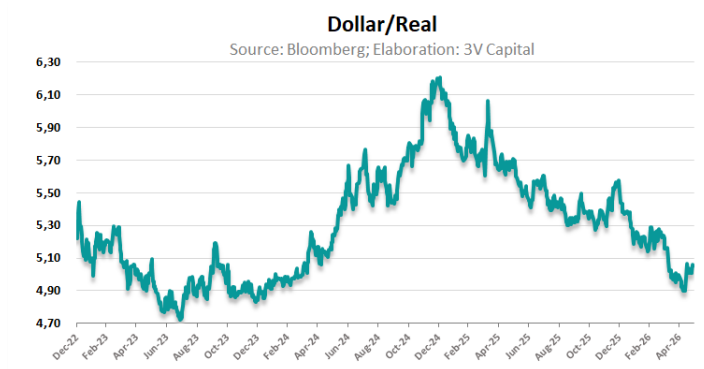


In this context, monetary policy came to be read in a more asymmetric way. Although a 0.25% cut in June still remained the majority scenario throughout the month, the probability of a hold increased, and the market began to debate more intensely whether the total easing budget will be smaller. The deterioration in core measures and the persistence of the energy shock in the global backdrop kept future rates under pressure, with particular emphasis on the sharp rise in long-end yields during moments of stress, combining "imported inflation" and an electoral premium.



The currency, in turn, lost part of the protection seen previously. Although the carry trade¹ remained attractive, May ended with the dollar higher, and the news flow surrounding Flávio Bolsonaro's candidacy — following messages and audio recordings that linked him to Daniel Vorcaro — weighed on the currency by raising doubts about the shape of the 2026 electoral race and, at the margin, about the likelihood of a change in power. The episode brought additional volatility to local assets and reopened debates that had lost steam, especially around fiscal risk in an electoral

cycle with room for measures of popular appeal.



In the equity market, there was a significant outflow of foreign capital, in one of the worst monthly performances in years. The pullback was explained by the fall in oil prices, by the global rotation toward other geographies and by the increase in domestic noise. Petrobras and the banks carried important weight in the move, in an environment in which the energy shock ceased to be merely a source of revenue and came to reinforce uncertainties around inflation, monetary policy and interference in administered prices.



On the fiscal front, measures of popular appeal gained pace as the elections drew closer, including changes to the taxation of international purchases and the expansion of fuel subsidies, raising the perception of a "goodies package" and generating further stress in the yield curve. At the same time, the bimonthly report brought a significant freeze in the Budget, and the structural discussion

returned to the fore: the growth of mandatory expenditures continues to compress the room for investment and keeps the government dependent on extraordinary revenues and easing measures to sustain its formal targets.

Looking ahead, the scenario remains dominated by the interplay between inflation, the Copom's calibration and the political-electoral component. If the signs of a slowdown in activity and in the labor market are confirmed, they could reopen some room for a continuation of the easing cycle; on the other hand, the persistence of the energy shock, the de-anchoring of expectations and fiscal risk in an election year tend to keep the premium elevated and volatility as the dominant feature in asset pricing.

¹**Carry trade:** a strategy that consists of borrowing funds in a low-interest-rate currency and investing in a high-interest-rate currency, thereby being exposed to the interest rate differential and to exchange rate movements.

Indicators - returns (%)				
Rate/Index	Apr-26	May-26	2026	Last 12 m
CDI	1,09%	1,07%	5,66%	14,82%
Dollar (Ptax-V)	-4,42%	1,37%	-8,10%	-10,59%
Ibovespa	-0,08%	-7,22%	7,86%	25,45%
IMA-B	1,81%	0,31%	5,18%	10,52%
IPCA	0,67%	0,50%	3,12%	4,65%
IRF-M	1,24%	0,68%	4,33%	13,19%
S&P 500	10,42%	5,15%	10,73%	28,21%
Euro Stoxx	5,60%	2,87%	4,39%	12,65%
MSCI Emerging	14,53%	9,49%	24,76%	49,74%

*IPCA for the month that has just ended refers to ANBIMA's projection

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